

UNIT 1: Introduction to Management

The modern world requires successful managers, like the example of Lisa in the restaurant industry, to have specific skills for dealing with new challenges and changing expectations in the workplace.

Why Are Managers Important?

Managers are vital to organizations for three main reasons:

1. **Handling Uncertainty:** In complex and chaotic times (like dealing with economic change or globalization), organizations need managerial skills to identify critical issues and craft responses. For example, a general manager might focus on used car sales and keep salespeople engaged with cash rewards during a challenging economic environment.
2. **Getting Things Done:** Managers are crucial for coordinating and overseeing workplace systems and conditions so that other employees can perform their tasks. If work is not done correctly, the manager finds out why and gets things back on track.
3. **They Matter:** The quality of the relationship between employees and their direct supervisors is the **single most important variable** affecting employee productivity and loyalty. Managerial ability significantly affects a company's financial performance and organizational value.

Who Are Managers and Where Do They Work?

Managers are diverse, ranging in age from under 18 to over 80, and work globally in all types of organizations, including corporations, hospitals, government departments, and schools.

- **Who Is a Manager?** Historically, managers simply told others what to do. Today, the definition is blurred, as many nonmanagerial jobs now include managerial activities. A manager is formally defined as **someone who coordinates and oversees the work of other people so that organizational goals can be accomplished**. A manager's job focuses on helping others do their work, not personal achievement.
 1. **Levels of Management:** In traditionally structured (pyramid-shaped) organizations:
 1. **First-Line Managers** (e.g., supervisors) manage the work of nonmanagerial employees.
 2. **Middle Managers** (e.g., store managers) manage the work of first-line managers.
 3. **Top Managers** (e.g., CEO, President) establish plans and goals and make organization-wide decisions.
- **Where Do Managers Work? (Organizations):** Managers work in organizations, which are defined as a deliberate arrangement of people to accomplish some specific purpose.

Organizations share three characteristics:

1. A **distinct purpose** (goals).
2. Are composed of **people**.
3. Develop a **deliberate structure** (which can be traditional with clear rules or open and flexible, like at Google).

What Do Managers Do?

Management involves coordinating and overseeing the work of others so that their activities are completed **efficiently and effectively**.

- **Efficiency** is "doing things right"—getting the most output from the least amount of input (not wasting resources).
- **Effectiveness** is "doing the right things"—completing activities to attain organizational goals.
- In successful organizations, high efficiency and high effectiveness go hand in hand.

Researchers describe what managers do using three approaches: functions, roles, and skills.

- **Management Functions (POSDCORB):** This acronym, coined by Gulick and Urwick, describes managerial activities:
 1. **Planning:** Establishing a broad sketch of the work and procedures.
 2. **Organizing:** Classifying and synchronizing work subdivisions.
 3. **Staffing:** Recruiting, selecting, and training the right people.
 4. **Directing:** Decision making and delegating instructions to execute work.
 5. **Coordinating:** Interlinking the various components of the work.
 6. **Reporting:** Regularly updating superiors on work progress.
 7. **Budgeting:** Activities related to accounting, auditing, and fiscal control.
- **Mintzberg's Managerial Roles:** Henry Mintzberg identified 10 roles managers engage in, grouped into three categories:
 1. **Interpersonal Roles:** Figurehead, Leader, and Liaison (involving people and ceremonial duties).
 2. **Informational Roles:** Monitor, Disseminator, and Spokesperson (involving receiving and transferring information).
 3. **Decisional Roles:** Entrepreneur, Disturbance Handler, Resource Allocator, and Negotiator (involving making choices).
- **Management Skills:** Managers need three critical skills, according to Robert L. Katz:
 1. **Technical Skills:** Job-specific knowledge and techniques, most important for first-line managers.
 2. **Human Skills:** The ability to work well with others (communicate, motivate, lead, inspire trust). These are equally important for all levels of management.

3. **Conceptual Skills:** The ability to think abstractly and see the organization as a whole, understanding how it fits into its broader environment. These are most important for top managers.

How Is the Manager's Job Changing?

The manager's job is constantly changing due to global uncertainties, ethical issues, security threats, and evolving technology. Managers must adapt their strategies, as seen when Headwaters MB drastically reduced fixed costs and changed its approach during the recession.

Key factors reshaping the manager's job include:

1. **Increasing Importance of Customers:** Organizations need customers to exist. Managers must focus on customer satisfaction, which is heavily influenced by employee attitudes and behaviors.
2. **Innovation.**
3. **Sustainability.**

Why Study Management?

Management is universally needed in all organizations. Studying management helps you recognize and correct poor management (which causes problems like long wait times or poor customer service) and support good management.

Historical Foundations of Management

Management has been practiced for thousands of years (e.g., construction of Egyptian pyramids). The formal study of management began in the early 20th century.

1. Classical Approach

This approach emphasized rationality and making organizations and workers as **efficient** as possible.

- **Scientific Management:** Frederick W. Taylor and the Gilbreths studied manual work to find the "one best way" to improve production efficiency. Managers today still use these principles when analyzing work tasks, using time-and-motion studies, and designing incentive systems based on output.
- **General Administrative Theory:** Henri Fayol identified the five functions managers perform and developed **14 principles of management** applicable to all organizational situations. Max Weber developed the theory of **bureaucracy**, an "ideal type" of organization characterized by hierarchy, division of labor, and detailed rules, which still describes many large organizations today.

2. Behavioral Approach

This approach focuses on the **organization's people**.

- The field of study is called **Organizational Behavior (OB)**, which contributes to modern ideas about motivating, leading, and managing conflict.
- The **Hawthorne Studies** (starting in 1924) dramatically influenced management beliefs, showing that factors other than lighting/environment contributed to productivity increases. The studies provided the foundation for current theories regarding motivation and leadership.

3. Quantitative Approach

Also known as management science, this approach uses **quantitative techniques** (statistics, models, simulations) to improve decision making.

- This approach is key to **Total Quality Management (TQM)**, a philosophy devoted to continual improvement and responding to customer needs using accurate measurements and statistical techniques.

4. Contemporary Approaches

Starting in the 1960s, researchers looked outside the organization's boundaries.

- **Systems Approach:** Views the organization as an **open system**—a set of interdependent parts that interact with and are influenced by the environment. An organization takes inputs (resources) from the environment, transforms them, and distributes outputs. This approach emphasizes that all parts of the organization must work together to achieve goals (e.g., production and marketing departments coordinating).
- **Contingency Approach (Situational Approach):** This approach stresses that there are **no simplistic or universal rules** for managers to follow. It says that organizations are different and face different situations (**contingencies**), requiring managers to use different approaches and techniques. The best way to manage "depends" on the specific situation (the "if, then" philosophy).

UNIT 4: Introduction to Economics

1. What Is Economics, and Why Is It Important?

Economics studies how humans make decisions when facing **scarcity**. The word "economy" is derived from the Greek phrase meaning "one who manages a household".

Scarcity is the fundamental problem, meaning human wants for goods, services, and resources exceed what is available. Resources (like labor, land, and time) are limited, while human wants are virtually infinite.

- **Definition:** Economics is formally defined as a **social science** that studies the **efficient allocation of scarce resources** to achieve the **maximum fulfillment of unlimited human needs**.
- **Rationale:** The field is founded on two facts: human wants are unlimited, and economic resources are limited (scarce). Because of scarcity, **choice** is necessary.

2. Scope and Method of Analysis in Economics

The core of modern economics is divided into two major complementary branches:

Branch	Focus	Central Problem	Examples
Microeconomic s	Individual decision-making units (households, firms, markets).	Price determination and allocation of resources.	Individual income, individual savings, a single firm's output.
Macroeconomic s	The economy as a whole (aggregate behavior).	Determination of the level of income and employment.	National income, general price level, national output.

Positive and Normative Analysis

Economics can be analyzed from two perspectives:

- **Positive economics:** Concerned with facts and describing the world "as it is" (what was, what is, or what will be).
- **Normative economics:** Deals with value judgments and what the economy "ought to be" (e.g., "The poor should pay no taxes").

Inductive and Deductive Reasoning

Economists use logic to form generalizations (theories):

- **Inductive reasoning:** Deriving a general principle or theory by moving from several specific facts to the general conclusion.
- **Deductive reasoning:** Arriving at a specific conclusion by starting from a correct general statement, fundamental assumption, or truth.

3. Scarcity, Choice, Opportunity Cost

1. Scarcity Scarcity reflects the imbalance between our unlimited wants and the limited means available to satisfy them.

- **Economic Resources (Factors of Production):** Resources needed to produce goods and services are classified into four categories:
 - **Labour:** Physical and mental effort (Reward: wage).
 - **Land:** Natural resources/free gifts of nature (Reward: rent).
 - **Capital:** Manufactured inputs used to produce other goods (Reward: interest).
 - **Entrepreneurship:** Human talent that organizes factors of production and takes risks (Reward: profit).
- **Note:** Scarcity is a universal and everlasting problem. **Shortage** occurs when people cannot get the amount they want at the prevailing price, making it a specific, short-term problem.

2. Choice Because output is limited by scarce resources, individuals, firms, and governments are forced to choose what to produce and what not to produce.

3. Opportunity Cost Since choice must be made in a world of scarcity, an alternative opportunity is always sacrificed. **Opportunity cost** is the value of the **next best alternative** that must be sacrificed (forgone) to obtain one more unit of a product. It is measured in terms of goods and services, not money costs.

4. How Economists Use Theories and Models

Economists use **theories** and **models** (simplified representations of reality) to help them understand economic issues and draw correct conclusions.

- **The Circular Flow Diagram:** A key model showing the economy consisting of two groups—**households** and **firms**—interacting in two markets:
 1. **Goods and Services Market (Product Market):** Firms supply goods/services, and households buy them, providing revenue to firms.
 2. **Labor Market (Factor Market):** Households supply labor and other resources (inputs), and firms demand them, providing wages/factor payments to households.

5. Economic Systems

An **economic system** is the institutional arrangement established by a society to answer its basic economic questions.

Capitalist Economy (Free Market System)

In this oldest formal system, all means of production are privately owned, and production is driven by individual private entrepreneurs working for profit. Government intervention is minimal.

- **Key Features:** Right to private property, freedom of consumer choice (consumer sovereignty), profit motive, competition, and resolution of problems through the **price mechanism**.
- **Impact:** Promotes flexibility, high rates of capital formation, and rapid growth. However, it leads to **inequalities of income** and potentially negative externalities (like pollution).

Command Economy (Socialistic Economy)

Under this system, economic institutions engaged in production and distribution are owned and controlled by the state.

- **Key Features:** Collective ownership, **central economic planning** by a controlling authority, strong government control over all activities, and the goal of **maximum social welfare**.
- **Impact:** Leads to balanced economic growth and greater equality in income distribution. However, there is no automatic price mechanism, a lack of incentives for hard work, and prevalent bureaucracy (**Red-tapism**).

Mixed Economy

A mixed economy attempts to combine the advantages of capitalism and command by allowing the **private and public sectors to co-exist**.

- **Key Features:** Co-existence of sectors (public sector handles strategic industries, private sector handles consumer goods), focus on **economic welfare**, use of economic planning, and a dual price mechanism (private sector prices fluctuate, public/essential goods prices are regulated).
- **Impact:** Allows for the profit motive and freedom of choice while government control helps achieve **social welfare** and rapid, planned development. However, it risks **ineffectiveness and inefficiency** (due to lack of incentive in the public sector or over-regulation of the private sector), economic fluctuations, corruption, and black markets.

Analogy:

Understanding economics is like understanding traffic flow in a giant city. **Microeconomics** studies individual drivers (firms and households) deciding on their routes and speeds (prices and production). **Macroeconomics** studies the flow of all traffic aggregated—the national highway system, rush hour congestion, and overall growth of the road network (national income, unemployment, inflation). The fundamental scarcity problem is that there are only so many roads and so much time, forcing every driver to make choices (opportunity cost).